APPLIED LAW | FINANCE RELATED ACTS

Banks & Financial Institutions Act, 2073

बैंक तथा वित्तीय संस्था ऐन, २०७३

For Application / CAP II Level

With coverage of Learning Objective (LO) as per new syllabus

By CA Govinda Tamang

With latest amendment

Syllabus Weightage

Applied Law



	Syllabus Area	Weighting (%)
1	**Nepal Chartered Accountants Act, 2053,** rules and Government Audit	10%
2	**Industry Related Acts:** Companies Act, 2063, Industrial Enterprises Act, 2076 and Foreign Investment and Technology Transfer in Nepal	30%
3	**Finance Related Acts:** Banks and Financial Institutions Act, 2073, Nepal Rastra Bank, 2058, Insurance Act, 2079 and Securities Act, 2063 and rules	30%
4	**Labour Act, 2074 and Other Acts Related to Employment**	10%
5	**The National Civil (Code), 2074 (Part V)**	10%
6	**Acts related to Social Organizations**	5%
7	**Understanding public procurement in Brief**	5%

Total Weightage — **100%**

LEARNING OUTCOMES: BANKS & FINANCIAL INSTITUTIONS ACT, 2073

Candidates will be able to understand objectives and definition of related terms of the Act, explain the provisions related to incorporation capital structure, regulation, inspection, supervision and accounts, records and audit of the Bank and Financial Institution.

In the assessment, candidates may be required to:

a	State the objectives along with the definition of the related terms of the Act.	Section 1 – 2
b	Explain and elaborate the provisions relating to incorporation of Banks or Financial Institutions (Prior Approval & License).	Section 3 – 13
c	Explain the provisions concerning Board of Directors and Chief Executive of Banks or Financial Institution, capital, capital funds and liquid assets along with provisions concerning operation of financial transactions.	Section 14 – 54
d	Explain and assess the provisions relating to disbursement and recovery of credits.	Section 55 – 57
e	Recognize the accounts, records, returns and reports of bank and financial institutions.	Section 58 – 68

INTRODUCTION TO
BANK & FINANCIAL INSTITUTIONS ACT 2073
(Act No. 1 of 2074)

AN ACT ENACTED FOR AMENDMENT AND CONSOLIDATION IN LAWS RELATING TO BANKS AND FINANCIAL INSTITUTIONS

ORIGIN & ENACTMENT



Enacted by Legislature-Parliament



Pursuant to the Constitution of Nepal, Article 296(1)

Date of Certification & Publication: **2074/1/10**

KEY DATES & AMENDMENTS

1) 2074/1/10
Certification & Publication

2) 2075/11/1
First Amendment
(Constitution of Nepal, 2074)

3) 2076/1/12
Second Amendment
(National Code, 2075 related Nepal Acts)

4) 2081/12/18
An Act to Amend Some Nepal Acts Related to Improving the Economic and Business Environment and Promoting Investment, 2081

CORE OBJECTIVES

- **ENHANCE PUBLIC CONFIDENCE**
- **PROTECT DEPOSITOR RIGHTS** — "Rights & Interests"
- **PROVIDE QUALITY SERVICES & HEALTHY COMPETITION**
- **STRENGTHEN NATIONAL ECONOMY** — "Sustainable & Strong"
- **MAINTAIN FINANCIAL STABILITY** — "Financial Stability"



THE ACT COVERS NECESSARY PROVISIONS CONCERNING:

- ESTABLISHMENT
- OPERATION
- MANAGEMENT
- REGULATION
- INSPECTION
- SUPERVISION

State the objectives along with the definition of the related terms of the Act. (Section 1 – 2)

LO	Syllabus content	Technical grid reference
LO 4a	❖ Preamble, Short title and commencement ❖ Definitions	Section 1 to 2 of Banks and Financial Institutions Act, 2073

OVERVIEW OF THE BANKS AND FINANCIAL INSTITUTIONS ACT, 2073

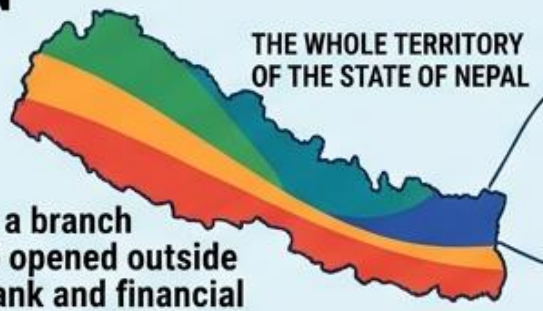
SECTION 1: SHORT TITLE, EXTENSION AND COMMENCEMENT

1 SHORT TITLE

ACT NAME:

This Act may be called the 'Banks and Financial Institutions Act, 2073.'

2 EXTENSION



THE WHOLE TERRITORY OF THE STATE OF NEPAL

BRANCH OFFICE

LIAISON OFFICE

Also enforce to a branch or liaison office opened outside of Nepal by a bank and financial institution incorporated in Nepal.

3



COMMENCEMENT

This Act shall come into force at once.

SECTION 2: DEFINITIONS

Unless the subject or the context otherwise requires, in this Act,-



(a) COURT

means Commercial Bench of the Court designated by the Government of Nepal with approval from the Supreme Court by publishing a notice in the Nepal Gazette.

(b) CHAIRPERSON

means the Chairperson of the Board of Directors, and the word also includes the Executive Chairperson.





(c) LICENSE

means the license issued by the Rastra Bank under this Act in the name of a bank or financial institution to carry on banking and financial transactions.

RASTRA BANK

(d) LICENSED TRANSACTION

means banking and financial transactions to be carried out by a bank or financial institution by obtaining a license under this Act.



SECTION 2: DEFINITIONS (CONTD..)

(e) BANK OR FINANCIAL INSTITUTION



means a bank or financial institution which has obtained a license pursuant to this Act for carrying on banking or financial transactions.



f SIGNIFICANT OWNERSHIP





means a situation where any person has, solely or jointly in association with another person or institution, subscribed two percent or more shares of a bank or financial institution and due to which he/she/it may have an influence on the management of the bank or financial institution.

g BORROWER





means a person, firm, company or institution that obtained credit from a bank or financial institution.

(h) CREDIT



means the amount lent by bank or financial institution to any person, firm, company, institution or other business enterprise subject to repay principal, interest or other charge within certain time limit, direct or indirect commitment, interest or other charge of the credit, re-finance, restructuring and renewal of the credit, guarantee and other commitment issued for the repayment of such credit and the term also includes any type of credit as specified by the Rastra Bank by publishing public notice.

(i) CHIEF EXECUTIVE

means the Chief Executive Officer having the responsibility of operating a bank or financial institution, and the term also includes the Executive Chairperson and Managing Director working as the Chief Executive.



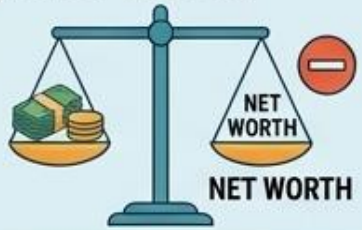
(j) OFFICE

means the registered and central office of a bank or financial institution, and the term also includes any branch office of a bank or financial institution located within Nepal and outside outside the territory of Nepal and a branch office of a foreign bank or financial institution located in Nepal.



SECTION 2: DEFINITIONS (CONTD..)

(k) Net worth



means the amount remaining after deducting the external liabilities from the grand total of the assets to be mentioned in the balance sheet of a bank or financial institution.

(l) Non-executive Director

means the Director except the Executive Director performing the daily function of a bank or financial institution.



(m) Current account



means an account of funds deposited with a bank or financial institution by the customer as may be withdrawn at any time on demand.

(n) Paid-up Capital



means the portion of the capital paid up on behalf of shareholders out of the issued capital of a bank or financial institution.

(o) Risk-weight asset

ASSET HEADING	AMOUNT	RISK WEIGHT (RB Prescribed)	RB CALCULATION
ASSET SHEET			
TOTAL RISK-WEIGHTED ASSETS			

means the total assets calculated by multiplying the amounts coming under each heading of the on-balance sheet and off-balance sheet operations of a bank or financial institution by the risk weight on the the format as prescribed by the Rastra Bank.

(p) Liquid assets



means the cash balance of a bank or financial institution, the balance remained in the current account, the balance maintained in Rastra Bank and such assets of a bank or financial institution specified as liquid assets by the Rastra Bank from time to time.

(q) "Prescribed" or "as prescribed"



means prescribed or as prescribed in the Rules or Byelaws framed under this Act.

SECTION 2 DEFINITIONS (Contd...)

r



(r) "Securities"

means a share, stock, bond, debenture, debenture stock, or mutual investment scheme certificate issued by a bank, financial institution or body corporate; certificate, saving bond or bond issued by the Government of Nepal or by a corporate body against the guarantee of Government of Nepal, and the word also includes other stock specified by the Securities Board as the stock to be transacted or transferrable through the stock market to sell or exchange such stock.

s



(s) "Articles of Association"

means ans Articles of Association of a bank or financial institution framed pursuant to the prevailing laws relating to companies.

t



(t) "Deposits"

means amounts deposited in current, savings or fixed accounts of a bank or financial institution through customers with or without accruing interests, and the term also includes such amounts that a bank or financial institution accepts through different financial instruments as specified by the Rastra Bank from time to time.

u



(u) "Deposit Guarantee"

means the Act of security of deposit or guarantee of such deposit pursuant to Section 108

v



(v) "Office bearer"

means a Director, Chief Executive, Company Secretary, and officer-level employee of a bank or financial institution authorised to make a decision on any matter.

SECTION 2 (W): DEFINITION OF "FAMILY"

1



Husband or Wife

DIRECTOR'S HUSBAND OR WIFE

2



Son, Daughter-in-Law,

SON, DAUGHTER-IN-LAW, DAUGHTER, ADOPTED DAUGHTER

3



Parents

FATHER, MOTHER, STEPMOTHER

4



Brothers & Sisters

BROTHERS & SISTERS (Elder/Younger & Spouses)

5



To be Cared or Nurtured

FAMILY MEMBERS TO BE CARED OR NURTURED BY THE DIRECTOR

**Includes stepmother; includes all elder/younger brothers, sisters and their spouses.*
Excludes family members separated by partition and carrying out business on their own.

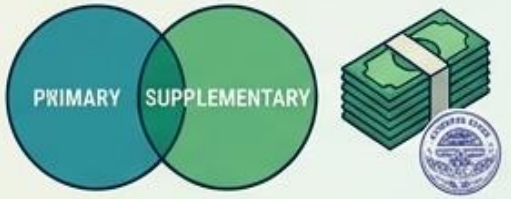
SECTION 2: DEFINITIONS (CONTD...)

(x) 'CAPITAL'



- means the authorised capital, issued capital and paid-up capital of a bank or financial institution.

(y) 'CAPITAL FUND'



- means the total sum of primary capital and supplementary capital of a bank or financial institution as specified by the Rastra Bank, and the term also includes other funds or amounts as specified by the Rastra Bank from time to time.

(z) 'INFRASTRUCTURE DEVELOPMENT BANK'



- means an Infrastructure Development Bank incorporated to carry on financial transactions as mentioned in sub-section (5) of section 49.

(aa) 'LETTER OF CREDIT'



- means a letter written by one bank or financial institution in the name of any other bank or financial institution stating thereon to accept cheques, drafts, or bills of exchange of any specified person within the limit of the amount specified therein.

(bb) 'MEMORANDUM OF ASSOCIATION'



- means the Memorandum of Association of a bank or financial institution framed pursuant to the prevailing companies' law.

(cc) 'PRIMARY CAPITAL'



- means the funds of a bank or financial institution listed under such headings as the paid-up capital, share premium, non-redeemable preference shares, general reserve fund and accumulated profit and loss, and the term also includes such other funds listed under other headings as may be prescribed as primary capital by the Rastra Bank from time to time.

(dd) 'ACQUIRING INSTITUTION'



- means the holding bank or financial institution acquiring an institution being licensed pursuant to this Act.

'DEFINITIONS (contd..) - Section 2



(ee) "Acquisition" means the Act of acquisition by a bank or financial institution to another bank or financial institution having settled the accounts of entire assets and potential liabilities by winding up the legal capacity of such bank or financial
financial institution. The term also includes the Act of accepting all contractual liabilities by the acquiring bank or financial institution created by the target institution before its merger.



(ff) "Saving Account" means an account containing details of the amount deposited by any customer for savings in a bank or financial institution.



(hh) "Banking and financial transaction" means the banking and financial transaction as referred to in Section 49.



(gg) "Bank" means a corporate body incorporated to carry on banking and financial transactions pursuant to sub-section (1) of Section 49, and the term also includes branch office of a foreign bank located in Nepal, a branch office opened outside of Nepal by a bank incorporated in Nepal and an Infrastructure Development Bank to carry on functions pursuant to sub-section (5) of Section 49 and a branch office of the same bank.



(ii) "Bonus share" means a share issued as an additional share to shareholders by capitalising the saving earned from the profits or the reserve fund of a bank or financial institution, and this term also includes the increase of the paid-up value of a share by capitalising the saving or other fund.

SECTION 2 DEFINITIONS (contd..)

(jj) "Fixed Account"



periodic account of funds deposited with a bank or financial institution for a specified term; during such term, normally, the deposited amount cannot be withdrawn.

(kk) "Rastra Bank Act"



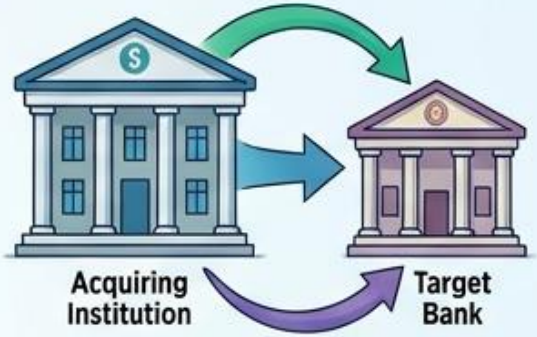
Nepal Rastra Bank Act, 2058 (2002).

(ll) "Rastra Bank"



Nepal Rastra Bank.

(mm) "Targeted Institution"



bank or financial institution to be merged in the acquiring institution under this Act with entire assets and liabilities.

(nn) "Audit Committee"



referred to in section 60.

(oo) "Dividend"



cash dividend, interim dividend or bonus share to be given by a bank or financial institution according to this Act and prevailing laws.

(pp)"Liquidator"



the person appointed to carry out the functions of liquidation of the bank or financial institution according to an order of a court or a resolution passed by a meeting of the creditors, and the word also includes an office carrying out the function of liquidator.

(qq) "Leasing"



the Act of acquiring only the possessory right of movable or immovable assets for a specified period of time by retaining the ownership thereof with the bank or financial institution and subject to payment amount therefor in the specified timetable by the customer according to an agreement.

Section 2 Definitions (contd..)

(rr) Off-balance-sheet transaction

means letter of credit, letter of guarantee, letter of acceptance, commitment, swap, option option, and transaction in advance concerning foreign exchange having the possibility of bearing liabilities by a bank or financial institution, and the word also includes transaction of the instruments as specified by the Rastra Bank from time to time.









(ss) Financial institution

means a corporate body incorporated to carry on banking and financial t transactions pursuant to sub-sections (2), (3), or (4) of Section 49 and the terms also include a branch office of a development bank, finance company, microfinance institution or a branch office of a foreign finance company located in Nepal or a branch office opened in abroad by a financial institution incorporated in Nepal.



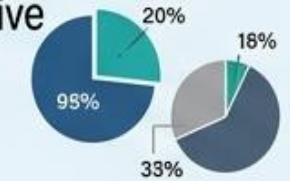






(tt) Financial interests

means a situation where any Director, shareholder subscribing one percent or more shares or Chief Executive or family member of such person or the person, or corporate body having to appoint a Director subscribes ten percent or shares of ar, corporate body separately or jointly, such persons are deemed to have financial interests in the institution having ten percent or more shares, and the term also includes the interests which the Rastra Bank specifies as having financial interests depending upon the nature and circumstance of monetary transaction.







SECTION 2 DEFINITIONS (contd..)

(uu) Branch of a foreign bank or financial institution



"Branch of a foreign bank or financial institution" means a branch of any bank or financial institution having obtained a license from Rastra Bank under this Act in order to carry out banking and financial transactions having established a branch office in Nepal.

(vv) Electronic transaction



"Electronic transaction" means the business of accepting deposits, making payments and transferring funds through telephone, computers or magnetic tapes or similar types of other electronic equipment; and this term also includes the transactions to be carried on through terminal, automated teller machines and cash dispensing machines, as well as those to be carried on through charge cards, debit or credit card.

(ww) Prospectus



"Prospectus" means the prospectus to be published by the bank or financial institution pursuant to Section 8.

(xx) Branch Office



"Branch Office" means any branch, sub-branch, unit, area, and representative or liaison office of a bank or financial institution within and outside Nepal and any office including branch or representative office or liaison office or other office of a foreign bank or financial institution in Nepal.

(yy) Share



"Share" means the divided portion of the share capital of a bank or financial institution.

(zz) Shareholder



"Shareholder" means a person having ownership in a share of a bank or financial institution.



SECTION 2 DEFINITIONS (CONTD..)

(aaa) DIRECTOR



means a member of the Board of Directors, and the term also includes the Chairperson of the Board of Directors as well as an Alternate Director.

(bbb) BOARD OF DIRECTORS



means the Board of Directors constituted pursuant to Section 14.

(ccc) PROMOTER



means a person who, having undertaken to subscribe at least one share, signs the Memorandum of Association and the Articles of Association in the capacity of Promoter for the establishment of a bank or financial institution pursuant to this Act.

(ddd) AFFILIATED PERSON



means a Director, official of a bank or financial institution or his/her family member or any firm, company or institution having substantial ownership of such person or any person, firm, company or institution having substantial ownership in such firm, company or institution or beneficial owner with substantial ownership thereof.

(eee) INDEPENDENT DIRECTOR



means the person appointed to the position of Independent Director pursuant to sub-section (3) of Section 14.

(fff) VOLUNTARY LIQUIDATION



means the situation in which a bank or financial institution initiates voluntary liquidation pursuant to Chapter 11.

(ggg) CREDITOR



means a person or a body corporate to whom/which a bank or financial institution has to pay, and the term also includes a depositor and debenture-holder for the purpose of the liquidation process.

(hhh) HYPOTHECATION LOAN



means the loan disbursed having agreed with a bank or financial institution and a Borrower against the collateral security of the stock having retained such stock under the possession of the concerned borrower.

Explain and elaborate the provisions relating to incorporation of Banks or Financial Institutions (Prior Approval & License). (Section 3 – 13)

LO	Syllabus content	Technical grid reference
LO 4b (1/3)	❖ Incorporation of bank and financial institutions ❖ Approval to be obtained to incorporate bank or financial institutions ❖ Prior approval to be obtained to incorporate bank or financial institutions under foreign investment ❖ Prior approval to be obtained to open branches by foreign banks or financial institutions ❖ Power to refuse the approval	Section 3 to 7 of Banks and Financial Institutions Act, 2073

BAFIA:

SECTION 3 & SECTION 4 – INCORPORATION & PRIOR APPROVAL

SECTION 3: INCORPORATION OF BANK OR FI

1 INCORPORATION AS PUBLIC LIMITED COMPANY



Any person must incorporate under prevailing laws.



2 EXEMPTION



Existing banks/FIs in operation at Act commencement are exempt.

3



Registers subject to Section 4.

AUTHORIZED OFFICIAL



1 APPLICATION SUBMISSION TO NRB



FILING → NRB DECISION



WITH CONDITIONS



WITHOUT CONDITIONS

2 REQUIRED ENCLOSURES (DOCUMENTATION LIST)



MoA & AoA



FEASIBILITY STUDY REPORT



PERSONAL DETAILS (NRB form)



PRE-INCORPOKATION AGREEMEMT (certihed)



INCOME & TAX CLEARANCE



BANKRUPTCY/LOAN DETAILS (Nepal/abroad)



SELF-DECLARATION (No criminal/fraud)



REGULATORY ACTIONS ON APPLICANT



FAMILY DETAILS (Name, relationship, substantial corporate owner details, 3 Tax Clearances)



AUTHORITY TO VERIFY BACKGROUND



UNDERTAKING: DEPOSITS INSURED



OTHER SPECIFIED DOCUMENTS

4 NO APPROVAL FOR CERTAIN PERSONS



NRB REGULATORY ACTIONS



CHEATING, FRAUD, FORGERY



ML/TF OFFENCES



CORRUPTION



SERIOUS CRIMES (Traffic, Kidnap, Rape)

No approval to substantial owners/family members who are punished.

SECTION 5:

PRIOR APPROVAL FOR FOREIGN INVESTMENT

1 FOREIGN BANK/FI APPLICATION SUBMISSION



NRB SUBMISSION + FEE

2 REQUIRED DOCUMENTATION LIST



- MOA & AOA + C.O.I. + CAPITAL STRUCTURE
- FOREIGN BANK LICENSE COPY
- PRINCIPAL PLACE OF BUSINESS
- PROPOSED BUSINESS PLAN (NP) + STRATEGIES
- LAST 3 YEARS AUDITED BUSINESS
- DECISION & REGULATORY AUTHORITY TO OPEN BANK IN NEPAL

3 NRB REVIEW & APPROVAL TIMELINE

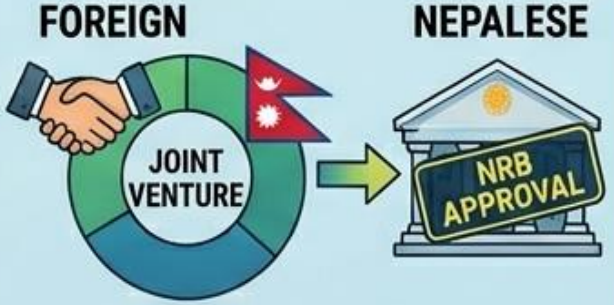


FILING → NRB DECISION



WITH CONDITIONS | WITHOUT CONDITIONS

4 JOINT VENTURE SHARES



YOUR ABILITY TO TAKE SHARES IN NAIC IN A LOCAL BANK/FI

5 EXISTING INVESTMENTS



TIME CAPSULE | PREVIOUS LAWS | ACT CONTINUED

NEPAL RASTRA BANK

SECTION 6:
APPROVAL TO OPENEN BRANCH OFFICE OF BANK OR FINANCIAL INSTITUTION

1 PRIOR APPROVAL REQUIREMENT



Internationally rated institutions, needes an official stamp
NRB APPROVAL REQUIRED
before opening a branch in Nepal

2 APPLICATION SUBMISSION



3 REQUIRED DOCUMENTS



- BOARD COMMITMENT (Liabilities)
- BRANCH OFFICE LOCATION
- PROPOSED OFFICE BEARERS

4 ADDITIONAL INFORMATION



Rastra Bank Inquiry

Extra Documents/Details

5 TIMELINE FOR APPROVAL



Filing

Approval (with/without Conditions)

6 REGISTRATION



REGISTERED UNDER COMPANY LAWS

7 POST-REGISTRATION DOCUMENTS



- REGISTRATION CERTIFICATE
- HOME COUNTRY AUTHORITY APPROVAL
- DISCREPANCY REPORT
- OTHER DOCUMENTS REQUESTED

8 TRANSACTION APPROVAL TIMELINE



BANKING/FINANCIAL TRANSACTIONS APPROVAL

9 TERMS & CONDITIONS



NRB PRESCRIBED CONDITIONS FOR BRANCH OPERATION

10 BRANCH ABROAD



NEPALESE BANK

FOREIGN BRANCHES

POLICIES



SECTION 7: PRIOR APPROVAL MAY BE DENIED



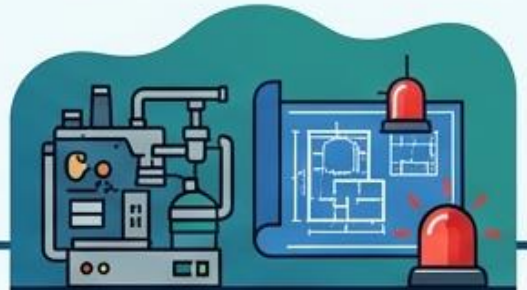
1. NAME & BUSINESS

NOT APPROPRIATE FOR PUBLIC INTEREST, RELIGION, ETHNICITY, OR TRADITIONAL BELIEFS.



2. OBJECTIVE

CONTRARY TO PREVAILING LAWS.



3. TECHNICAL FEASIBILITY

INCORPORATION NOT TECHNICALLY APPROPRIATE.



4. FINANCIAL VIABILITY

FEASIBILITY STUDY OR SUBMITTED INFRASTRUCTURE DOCUMENTS DON'T INDICATE HEALTHY AND COMPETITIVE OPERATIONS.

DENIAL REASONS



5. PROMOTERS' SIGNATURES

NOT ALL PROMOTERS SIGNED MoA & AoA IN PRESENCE OF WITNESSES, OR WITNESS INFO MISSING.



6. SHAREHOLDING LIMITS

PER PERSON INVESTMENT OR OWNERSHIP RATIO NOT AS PER RASTRA BANK LIMITS.



7. POLICY CONSISTENCY

INCONSISTENT WITH RASTRA BANK INCORPORATION OR LICENSING POLICIES.



8. OTHER CONDITIONS

ANY RASTRA BANK-PRESCRIBED CONDITIONS NOT FULFILLED.



NOTIFICATION

IF PRIOR APPROVAL IS DENIED, RASTRA BANK MUST INFORM THE APPLICANT WITH THE REASONS.

Explain and elaborate the provisions relating to incorporation of Banks or Financial Institutions (Prior Approval & License). (Section 3 – 13)

LO	Syllabus content	Technical grid reference
LO 4b (2/3)	❖ Prospectus ❖ Allotment of shares ❖ Dealing in securities ❖ Prohibition on selling or pledging shares ❖ Restriction on dealing in securities ❖ Prohibition on purchase of its own shares	Section 8 to 13 of Banks and Financial Institutions Act, 2073

NEPAL RASTRA BANK REGULATIONS FOR SHARES

SECTION 8: PROSPECTUS & REGISTRATION

1. Prior Approval → 2. Registration



SECURITIES BOARD



RASTRA BANK

⚠ NO PROSPECTUS PUBLICATION WITHOUT REGISTRATION

⚠ RASTRA BANK REGISTERS AFTER SECURITIES BOARD NOTIFICATION







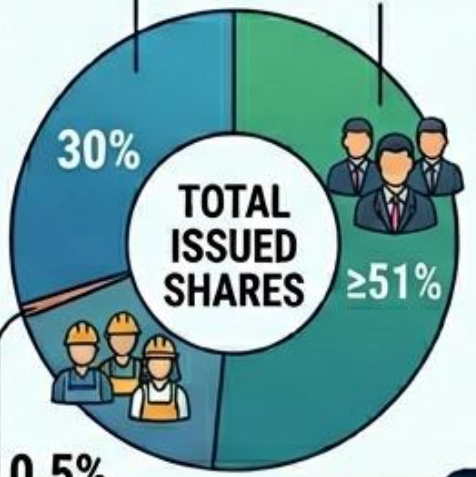


SECTION 9: ALLOTMENT OF SHARES & QUOTAS

GENERAL PUBLIC SUBSCRIPTION



UNSOLD PUBLIC SHARES SOLD TO: Firms, Companies, or Institutions



EMPLOYEES — 0.5%
0.5% - EXCEPT 30% QUOTA

SHARE GROUPS:



PROMOTER SHARE GROUP: AS PRESCRIBED BY RASTRA BANK



ORDINARY SHARE GROUP: ALL OTHER SHARES

SHARE CONVERSION

CONVERTIBLE TO ORDINARY SHARES IF PROMOTER OWNERSHIP REMAIN ≥51%

SPECIAL CASES



PUBLIC SHARE RATIO NOT REQUIRED FOR BANKS WITH SIGNIFICANT OWNERSHIP OF THE GOVERNMENT OF NEPAL (GON)



JOINT VENTURES WITH FOREIGN BANKS MUST FOLLOW ALL NRB GUIDELINES

BAFIA:

SECTION 10 & 11: TRANSACTIONS & PROMOTER SHARES

SECTION 10: TRANSACTIONS OF SECURITIES

1 COMPLIANCE WITH SECURITIES LAWS





COPY OF ANY DEALING AGREEMENT VIA INSTITUTION

2 SUBMIT AGREEMENTS (7 DAYS)



COPY OF ANY DEALING AGREEMENT VIA INSTITUTION

3 PRIOR NRB APPROVAL





DEBENTURES ISSUING ANY INSTRUMENTS

COMPLIANCE WITH CONDITIONS



NRB MAY SPECIFY TERMS AND CONDITIONS; COMPLIANCE REQUIRED

SECTION 11: SALE OR PLEDGING OF PROMOTER SHARES

YEARS 0-5



PROMOTER CANNOT SELL/PLEDGE SHARES

EXCEPTIONS (WITH NRB APPROVAL)

SPECIAL CIRCUMSTANCES



Obstruction in operations



Promoter blocked with other bank



Quorum failure 3 consecutive times



Indecision among Directors

AFTER 5 YEARS



MAY SELL/PLEDGE WITH NRB APPROVAL

<2% SHARES CAN BE SOLD WITHOUT APPROVAL

AFTER 10 YEARS



PROMOTER SHARES MAY BE CONVERTED TO ORDINARY SHARES

WITH NRB APPROVAL

CONSIDERING MARKET/FINANCIAL IMPACT

CORPORATE BODIES & OWNERSHIP ALTERATION



COMPANIES/BODIES HOLDING PROMOTER SHARES MUST GET NRB APPROVAL

<2% SHARES CAN BE TRANSFERRED WITHOUT APPROVAL

BAFIA:

SECTION 12 & 13: PROHIBITIONS ON OWN SHARES

SECTION 12: PROHIBITION ON TRANSACTION OF SECURITIES

1 PROHIBITED PERSONS

DIRECTOR | CEO | AUDITOR | COMPANY SECRETARY | DIRECTLY MANAGING PERSONNEL

WHILE IN OFFICE OR FOR 1 YEAR AFTER RETIREMENT

2 PROHIBITED ACTIONS (BANK SECURITIES)

DONATION | TRANSFER | SELL | BUY | PLEDGE

IN THEIR NAME, FAMILY MEMBERS, OR CONTROLLED FIRMS

3 EXCEPTIONS (WITH RASTRA BANK APPROVAL)

Share trading: Directors to Directors/ Promoters

- Bonus, rights, employee shares
- Implementing Rastra Bank directives
- Selling entire shareholding of Directors or corporate body (complete portfolio handover)
- Mergers/amalgamations
- Reformative or settlement processes

4 VIOLATION

SECURITIES MUST BE FORFEITED AND SOLD AS PRESCRIBED

SECTION 13: PROHIBITION ON PURCHASE BY OWN SHARES

GENERAL PROHIBITION

BANKS/FIS CANNOT BUY BACK OWN SHARES OR LEND AGAINST THEIR SHARES

EXCEPTIONS (WITH RASTRA BANK APPROVAL & CONDITIONS)

- Fully paid-up shares
- Listed shares
- AoA authorizes buy-back
- Special resolution passed
- Debt ≤ 2× capital & reserves
- Buy-back ≤ 20% of paid up capital & reserves
- Compliance with directives

3 APPLICATION TO RASTRA BANK (ENCLOSURES)

- Reason, necessity, duration, modus operandi
- Financial impact assessment
- Buy-back ≤ 20% of paid-up capital & reserves
- Compliance with directives
- Financial impact assessment
- Type, par value, number of shares
- Source and max/min amount
- Other specified matters

4 APPROVAL & EXECUTION FLOW

Rastra Bank May Approve → Buy-Back Timeline Dhaelims (WITHIN 6 MONTHS OF APPROVAL | 120 DAYS OF SPECIAL RESOLUTION) → Execution Modes: SECURITIES MARKET OR PROPORTIONAL PURCHASE

File Return (30 Days) → Capital Redemption Reserve Fund → Shares Cancelled (120 Days) → Other Provisions

Explain and elaborate the provisions relating to incorporation of Banks or Financial Institutions (Prior Approval & License). (Section 3 – 13)

LO	Syllabus content	Technical grid reference
LO 4b (3/3)	❖ Prohibition on carrying on financial transactions by anyone other than bank or financial institution ❖ Use of name of bank or financial institution ❖ Application to be made for license to carry on financial transactions ❖ License to be issued to carry on financial transactions ❖ Power to refuse to issue license ❖ Power of Rastra bank to prescribe conditions ❖ Classification of licensed institutions ❖ Conversion from lower to higher class ❖ List of licensed institutions to be published ❖ Special provisions relating to opening of branch office by foreign bank	Section 31 to 40 of Banks and Financial Institutions Act, 2073

PROHIBITION ON FINANCIAL TRANSACTIONS & BANKING NAMES
(Sections 31 & 32)

SECTION 31: FINANCIAL TRANSACTION PROHIBITION

1 ONLY LICENSED INSTITUTIONS:
Licensed banks & financial institutions (per Section 34) may carry out transactions.



2 RASTRA BANK'S ROLE:
Rastra Bank formulates & executes licensing policy.





SECTION 32: USE OF BANK/FI NAMES



1 RESTRICTIONS:
Rastra Bank approval needed for using names and terms like **BANK, BANKING, FINANCE, FINANCIAL.**



2 EXEMPTIONS:
(No Approval Needed)



- Licensed Banks/FIs & Foreign Branches
- Organisations by Law or International Agreements
- Applying Companies (within 6 months)
- Existing Banks/FIs (Approved prior)

3 CLASS-SPECIFIC NAMING:

CLASS 'B' → Development Bank



CLASS 'C' → Finance Company



CLASS 'D' → Microfinance Financial Institution



Note: Pre-existing Microfinance Dev. Banks must ADOPT new convention

SECTION 33: APPLICATION FOR LICENSE TO CARRY ON BANKING & FINANCIAL TRANSACTIONS

1 APPLICATION SUBMISSION



Bank/FI must apply to Rastra Bank with prescribed fee to obtain license.

2 REQUIRED DOCUMENTS

- MOA & AOA with certificate of incorporation.
- Office details (owned or leased) with infrastructure.
- Share subscription confirmation deposited.
- Employee & Financial Byelaws, including loan write-off procedures.
- Principal business place & branch addresses (if known).
- Consent to follow Rastra Bank terms & conditions.
- Business plan: strategy, organizational structure, internal controls, risk management.
- Directors & officials list with qualifications.
- Commitment to maintain minimum capital adequacy ratio.
- Commitment to maintain internal control system.
- Other documents specified by Rastra Bank.

3 ADDITIONAL DOCUMENTS FOR FOREIGN BANKS/FIS (JOINT VENTURES)

- Government/central bank consent from home country.
- Details of unfulfilled regulatory requirements under this Act.
- Other documents specified by Rastra Bank.



4 RASTRA BANK ENQUIRY

Rastra Bank may request additional documents or details if submitted info is insufficient.



BANKING & FINANCIAL INSTITUTIONS: LICENSE TO OPERATE (Sections 34 & 35)

SECTION 34: LICENSE TO CARRY ON BANKING & FINANCIAL TRANSACTIONS



APPLICANT FILES APPLICATION



RASTRA BANK VERIFIES
(Up to 120 Days)

- Healthy competition & depositor protection
- Capability to conduct banking/FI operations (per Act, Rules, MOA, etc.)
- Adequacy of documents & physical infrastructure
- Competency of appointed officials



LICENSE GRANTED
(Class-based, per Section 37)

ACTIVATION OF LICENSE

From specified enforcement date

OR

From date of issuance (if no date specified)

SECTION 35: DENIAL OF LICENSE



RASTRA BANK MAY DENY IF:

- Adverse impact on financial stability, fair competition, credibility
- Not reasonable for depositor protection
- Infrastructure is incomplete
- Other Act requirements are unmet



INFORM APPLICANT OF DENIAL

(Within 90 Days of Filing, with Reasons)

BANK AND FINANCIAL INSTITUTIONS ACT

SECTIONS 36, 37 & 38 – AT A GLANCE

36. RASTRA BANK MAY SPECIFY CONDITIONS

1. Rastra Bank may, while granting a license (for carrying on banking and financial transactions pursuant to **Section 34**), specify necessary terms and conditions by giving consideration to:
   - Existing position of the bank or financial institution
   - Healthy operation of financial transactions
   - Interests of depositors

   It shall be the duty of the concerned bank or financial institution **to abide by such terms and conditions.**

2. Rastra Bank may bring necessary alterations and changes from time to time as per requirement in the terms and conditions as specified pursuant to sub-section (1).

37. CLASSIFICATION OF BANK OR FINANCIAL INSTITUTION

Rastra Bank shall classify banks or financial institutions in classes **"A", "B", "C" and "D"** based on:

- **Minimum paid-up capital**
- **Transactions to be operated**
- **Working areas**

Rastra Bank shall issue license to concerned banks or financial institutions accordingly.

PROVIDED THAT

An infrastructure development bank shall not be classified in any class.

38. MAY BE CONVERTED INTO HIGHER CLASS OF BANK OR FINANCIAL INSTITUTION

1. If a lower class bank or FI desires to be converted into a bank or FI of one level higher class, it has to submit an application to **Rastra Bank.**

   ! **Provided that class "D" institutions may not be converted into the higher class.**

2. Rastra Bank may grant prior approval after inquiry into the application and details enclosed therewith subject to the following terms and conditions:
   - a. If it has met the paid-up capital requirement for a higher class as prescribed by Rastra Bank
   - b. If it has continuously maintained the capital fund adequacy (as per RB directives) for last 5 years, been in profit continuously for last 5 years, and average NPL of last 5 years is within limits prescribed by Rastra Bank
   - c. If preliminary expenses have already been written off
   - d. If the shares to be issued publicly have been issued and already been allotted
   - e. If the General Meeting has already passed the special resolution for conversion into the upper class
   - f. If it has met all conditions as prescribed by Rastra Bank

3. Rastra Bank shall issue the license of upper-class bank or FI pursuant to this Act, causing amendment to be made to the Memorandum of Association and Articles of Association of the bank or FI according to prevailing law having obtained prior approval pursuant to sub-section (2).

KEY TAKEAWAY

Rastra Bank ensures responsible licensing, classification and orderly growth of banks and financial institutions by setting conditions, defining classes and enabling conversion to higher classes under strict criteria.

SECTIONS 39 TO 40 – SUMMARY AT A GLANCE

SECTION	KEY PROVISIONS (SUMMARY)	TIMELINES / DEADLINES	KEY POINTS
Sec. 39 **List to be Published**	• Rastra Bank shall publish a list of banks and financial institutions carrying on banking and financial transactions. • The list shall include key financial information and **other details** as deemed necessary. **Information to be Included (indicative):** Date of commencement of transaction Capital fund position Status of non-performing loans (NPL) Paid-up capital Total loans Other details as deemed necessary	**Every month** Publication in a national-level newspaper or through any other means.	• Ensures transparency and public disclosure. • Information to be published includes key financial indicators. • Promotes informed decision-**making by stakeholders.**
Sec. 39A **Operation of Financial Institutions in the Province**	1. Nepal Rastra Bank may allow operation of financial institutions at the province level within prescribed limits, conditions or instructions. 2. Such institutions shall obtain a license from Nepal Rastra Bank in accordance with provincial law. 3. Regulation, supervision and oversight shall be carried out by Nepal Rastra Bank. 4. Other arrangements at the state level shall be as per this Act and applicable state laws.	**License to be obtained** As per prescribed procedure and provincial law.	• Enables province-level financial institutions. • Licensed by Nepal Rastra Bank. • Full regulation and supervision remains with Nepal Rastra **Bank.** • Subject to this Act and state laws.
Sec. 40 **Special Provision on Branch of Foreign Bank**	1. A **branch** of a licensed, internationally classified **foreign bank** in Nepal shall be deemed equivalent to a bank/financial institution **under this Act.** 2. Rastra Bank may issue directives on the responsibility of officials/employees regarding functions, duties, liabilities, assets, accounts, etc. 3. While using assets to meet liabilities, priority shall be given to liabilities towards Nepal. 4. Notwithstanding other provisions, such a branch may carry on wholesale banking transactions. 5. Functions and activities of the branch office shall be as prescribed by Rastra Bank.	**License granted by Rastra Bank** Operates as per prevailing law. **Directives may be issued as required** By Rastra Bank.	• Equal treatment as domestic banks unless otherwise provided. • Rastra Bank can issue necessary directives. • Nepal liability gets priority over other **jurisdictions.** • Allowed to conduct wholesale **banking.** • Operations as per directives of Rastra Bank.

Overall Objective | Ensure transparency, enable province-level operations, and provide a clear regulatory framework for branches of foreign banks in Nepal.

Explain the provisions concerning Board of Directors and Chief Executive of Banks or Financial Institution, capital, capital funds and liquid assets along with provisions concerning operation of financial transactions. (Section 14 – 54)

LO	Syllabus content	Technical grid reference
LO 4c (1/3)	❖ Formation of board of directors ❖ Tenure of office of directors ❖ Qualifications of directors ❖ Qualifications of independent directors ❖ Disqualifications of directors ❖ Discontinue to hold the office of director ❖ Provision relating to a person holding constitutional post ❖ Meetings of directors ❖ Functions, duties and powers of board ❖ Power to frame byelaws and procedures ❖ Responsibilities of directors ❖ Obtain information of directors ❖ Register of directors ❖ Power to form sub-committees ❖ Delegation of authority ❖ Remuneration and facilities of directors ❖ Appointment and conditions of service of chief executive ❖ Functions, duties and power of chief executive	Section 14 to 30 of Banks and Financial Institutions Act, 2073

BAFIA:

SECTION 14: BOARD OF DIRECTORS

COMPOSITION

BoD

MINIMUM 5 TO MAXIMUM 7 Directors

FAMILY RESTRICTION



MAXIMUM 1

Maximum 1 family member as Director at the same time

APPOINTMENT PROCESS

1 GENERAL MEETING APPOINTS



1st AGM

AGM appoints per AoA & Act

Until 1st AGM: Promoters appoint Directors

3 VACANCY BEFORE AGM



PROMOTERS → 1st AGM

Board may appoint until next General Meeting

INFRASTRUCTURE DEVELOPMENT BANK exception

c Part c exception

KEY POSITIONS

CHAIRPERSON



Chosen by Directors from among themselves by majority vote

ALTERNATE DIRECTOR



May appoint Alternate Director proportional to shares for absence coverage

PROFESSIONAL DIRECTOR

4 CORPORATE SHAREHOLDER APPOINTMENT



CORPORATE SHAREHOLDER BANK

Can appoint Director proportional to shares

Same person cannot serve on multiple banks/FIs

PROFESSIONAL DIRECTOR

QUALIFICATIONS/ EXPERIENCE | SECTION 17

AT LEAST 1 PROFESSIONAL DIRECTOR



GUIDELINES FOR BANK DIRECTORS: TERM OF OFFICE & QUALIFICATIONS

SECTION 15: TERM OF OFFICE OF DIRECTORS

1 DIRECTOR TERM

MAXIMUM 4 YEARS

- May be reappointed / re-nominated

INDEPENDENT DIRECTOR — **ONLY SINGLE TERM**

2 EXECUTIVE CHAIRPERSON / MD

MAXIMUM 2 CONSECUTIVE TERMS ONLY

after commencement of this Act

SECTION 16: QUALIFICATIONS OF DIRECTOR

1 Must have one of the following:

(a) **5 YEARS EXPERIENCE** as Director / Office Bearer of a Bank/FI, Related Corporate Sector, or Officer level of Government of Nepal

(b) **BACHELOR'S DEGREE + 3 YEARS EXPERIENCE** as above

(c) **MASTER'S DEGREE** in related subject (as prescribed)

2 CLASS 'D' FINANCIAL INSTITUTION DIRECTORS

- Qualifications & experience as prescribed by Rastra Bank
- Independent Director qualification as per Section 17

SECTION 17: QUALIFICATIONS OF INDEPENDENT DIRECTOR

CLASS 'A' / NATIONAL CLASS 'B' DEVELOPMENT BANK

MASTER'S DEGREE (as per Rastra Bank) + REQUIRED EXPERIENCE

CLASS 'B' DEVELOPMENT BANK / CLASS 'C' FIs (except National Class B)

BACHELOR'S DEGREE + REQUIRED EXPERIENCE

CLASS 'D' MICROFINANCE INSTITUTIONS

QUALIFICATIONS & EXPERIENCE as prescribed by Rastra Bank

DISQUALIFICATIONS OF DIRECTORS

(SECTION 18)

1. UNDER 25 YEARS OLD
2. INSANE OR OF UNSOUND MIND
3. BANKRUPT IN NEPAL OR ABROAD
4. BLOCKED/DEFAULTED TRANSACTIONS WITH ANY BANK/FI (less than 3 years)
5. INCUMBENT DIRECTOR/ EMPLOYEE OF CORPORATE BODY with banking or insurance transactions
6. BORROWER, AUDITOR, ADVISOR, OR PARTNER WITH PERSONAL INTEREST in the bank/FI
7. STOCK EXCHANGE MEMBERSHIP (broker or merchant banker)





EXCEPTION

Employees of a bank/FI may be Directors of its subsidiary



8. CURRENT DIRECTOR OF THE BANK/FI
9. NOT SUBSCRIBED MINIMUM SHARES as AoA
10. EMPLOYEE OF GOVERNMENT, Government-owned institution, Rastra Bank, or Bank/FI
11. UNPAID TAXES
12. LESS THAN 10 YEARS AFTER PUNISHMENT for theft, fraud, corruption, moral turpitude, or banking offence — 10 year
13. LESS THAN 5 YEARS SINCE REGULATORY ACTION for law violation — 5 years
14. INDEPENDENT DIRECTOR WITH >0.1% OWNERSHIP by promoter/shareholder
15. PENDING IMPRISONMENT or fines, or defaulted government dues

CIRCUMSTANCES FOR INELIGIBILITY TO REMAIN IN OFFICE OF DIRECTOR (SECTION 19)

- **LACKS QUALIFICATIONS** (SEC 16 & 17), OR **DISQUALIFIED** (SEC 18)





Master's degree

Educational requirements, e.g. ET&C.



Ethical standards

- **REMOVAL MOTION PASSED** in General Meeting



Majority recommended by appointing group

Group = Promoters + General public shareholders (representing ≥51% of group shares)

- **RESIGNATION TENDERED AND APPROVED**



- **ACTS CONTRARY** to this Act or Rastra Bank Directives





- **RASTRA BANK DIRECTS REMOVAL**



Due to acts against rights/interests of bank, depositors, or incompetence



Depositors



Incompetent

REPORTING & ENFORCEMENT







RASTRA BANK MAY ISSUE APPROPRIATE DIRECTIONS AFTER ENQUIRY

BANK GOVERNANCE REGULATION INFOGRAPHIC

SECTION 20: INCUMBENT CONSTITUTIONAL POSITION HOLDER

PROHIBITION WHILE IN OFFICE





DIRECTOR

STOP



CHIEF EXECUTIVE

NO PERSON holding a constitutional position may serve as a **DIRECTOR** or **CHIEF EXECUTIVE** of **ANY BANK** or **FINANCIAL INSTITUTION** while in office.

SECTION 21: MEETINGS OF BOARD OF DIRECTORS

FREQUENCY



≥ 12 MEETINGS PER YEAR

MAX **60** DAYS BETWEEN MEETINGS

CALLING A MEETING







CHAIRPERSON CONVENES

≥ 1/3 OF DIRECTORS REQUEST in writing with agenda

PRESIDING





CHAIRPERSON PRESIDES

IN ABSENCE: **DIRECTOR** chosen by majority presides

QUORUM





MINIMUM **51%** OF DIRECTORS must attend

DECISION MAKING



MAJORITY DECISIONS BINDING



TIE-BREAKING VOTE by Chairperson



MINUTES

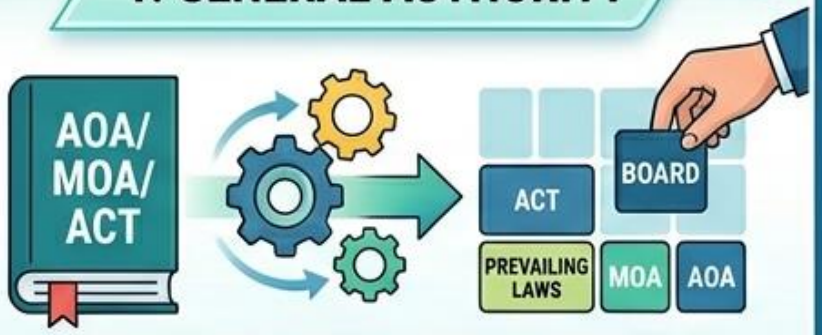


DIRECTORS MAY NOTE DISSENTING OPINIONS WITH SIGNATURE

BANK GOVERNANCE REGULATION INFOGRAPHIC (CONTINUED)

SECTION 22: FUNCTIONS, DUTIES & POWERS OF BOARD OF DIRECTORS

1. GENERAL AUTHORITY



ALL FUNCTIONS, DUTIES, & POWERS ARE VESTED
(EXCEPT RESERVED FOR GENERAL MEETING)

2. PRIMARY DUTY

(a) OPERATE IN INTERESTS OF



(a) MAINTAIN CORPORATE GOVERNANCE

DAILY OPERATIONS



NO INTERVENTION



(b) OVERSEE & GOVERNANCE
MAINTAIN CORPORATE GOVERNANCE

3. OTHER FUNCTIONS & POWERS

(a) FRAME BYELAWS



FRAME BYELAWS, DIRECTIVES, & PROCEDURES

(b) INTERNAL CONTROL & RISK



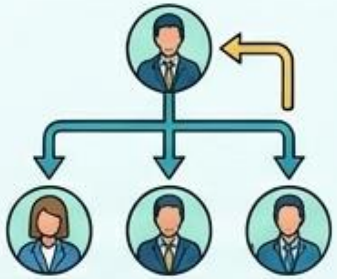
ESTABLISH CONTROL & RISK MANAGEMENT NORMS

(c) POLICY MANAGEMENT



DEVELOP POLICY FOR ORDERLY OPERATIONS

(d) ORGANISATIONAL STRUCTURE



CREATE CLEAR ORGANISATIONAL STRUCTURE & IMPLEMENT

(e) SUBMIT REPORTS



SUBMIT AUDIT & ANNUAL PROGRESS REPORTS

(f) OTHER FUNCTIONS



PERFORM OTHER FUNCTIONS

BANK GOVERNANCE REGULATION INFOGRAPHIC (CONTINUED)

SECTIONS 23 & 24: ACCOUNTABILITY, RESPONSIBILITY & DIRECTOR DETAILS

SECTION 23: ACCOUNTABILITY & RESPONSIBILITY OF DIRECTORS

1. NO PERSONAL GAIN



MUST NOT use bank/FI business for personal benefit.

2. PERSONAL LIABILITY



LIABLE for acts exceeding authority as Director.

3. RISK MANAGEMENT & INTERNAL CONTROL



MUST ENSURE compliance with sound business strategies.



SHOULD NOT interfere in daily operations.

4. NON-INTERVENTION IN DAILY MANAGEMENT





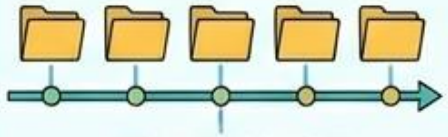
FULLY ADHERE to instructions issued by Rastra Bank.

SECTION 24: DETAILS OF DIRECTORS TO BE COLLECTED

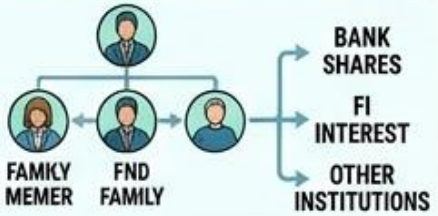
PERSONAL INFO



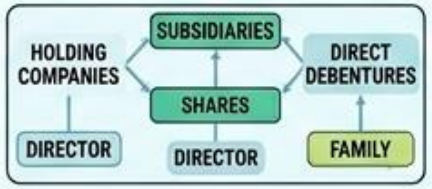
PAST POSITIONS



FAMILY & FINANCIAL INTERESTS



FAMILY SHARES/DEBENTURES



FAMILY EMPLOYEES



FAMILY AGREEMENTS



APPOINTMENT INTERESTS



WRITTEN AUTHORITY FOR INQUIRY



SELF-DECLARATION OF ELIGIBILITY



OTHER DETAILS



BANKS/FIs MUST COLLECT & MAINTAIN: [List of letters (a) to (j)]

KEY SECTIONS: CORPORATE GOVERNANCE REGULATIONS

SECTION 25: INFORMATION OF DIRECTOR & RECORD



SUBMISSION OF DETAILS
Director must submit details (Sec 24) to Bank/FI within 7 days of appointment



RECORD MAINTENANCE
Bank/FI must maintain separate records of submitted details



OWNERSHIP / INTERESTS
Declare substantial ownership/interests of Director/ family at first Board meeting



CONFLICT OF INTEREST
Declare interest in Board/ sub-committee discussions; No participation in discussions/votes



UPDATES
Any changes must be submitted to Rastra Bank within 15 days.

Rastra Bank Oversight:
May inquire into any information



SECTION 26: FORMATION OF SUB-COMMITTEES



Board forms one or more for specific purposes



FOLLOWS RASTRA BANK DIRECTIVES



CHAIRPERSON CANNOT BE A MEMBER
Chairperson separate



Functions, duties, powers, procedures, & member remuneration
PRESCRIBED BY BOARD



Activities & expenditures included in
ANNUAL REPORT

SECTION 27: DELEGATION OF POWERS



BOARD MAY DELEGATE POWERS TO:



Any Director | Sub-committee (Sec. 26) | Chief Executive or acting Chief Executive

EXERCISED UNDER BOARD SUPERVISION/DIRECTION

Board looking on with BROo



SECTION 28: ALLOWANCES & FACILITIES





MEETING ALLOWANCES

FACILITIES



As specified in the **ARTICLES OF ASSOCIATION**



PROMOTING TRANSPARENCY AND RESPONSIBILITY

SECTION 29: CHIEF EXECUTIVE (CE) APPOINTMENT & TERMS

① APPOINTMENT



Board appoints 1 CE.



Board appoints & Doorentment.

Subject to Act, Memorandum & Articles of Association.

② TENURE



Max 4 years, reappointment



Special institution:

Class 'D' institution: Rastra Bank qualifications.

③ REMOVAL



Can be removed for performance.



Must have reasonable opportunity for clarification.

④ QUALIFICATIONS & EXPERIENCE



MASTER'S in Finance, Management, Law, etc.



10+ YEARS in Banking, Government, etc.

Compliance with Rastra Bank criteria and Section 18(1).

⑤ NOTIFICATION







Info to Rastra Bank within 7 days.

⑥ NON-ELIGIBILITY



Cannot hold position in other business organizations.



IDB

Allowed Director of Infrastructure Development Bank (if invested).

⑦ REMUNERATION & FACILITIES



DETERMINED BY BOARD



At time of appointment.

⑧ RASTRA BANK OVERSIGHT





Found unqualified → Order removal & replacement.

GUIDELINES FOR CHIEF EXECUTIVE OFFICERS

SECTION 30: FUNCTIONS, DUTIES AND POWERS OF THE CHIEF EXECUTIVE

Key responsibilities and authority within a Bank or Financial Institution.



1) IMPLEMENTATION & CONTROL

- Implement decisions of the Board of Directors
- Exercise delegated powers
- Oversee and control bank activities (per MoA/AoA)



2) BUDGET & PLANNING

- Prepare annual budget
- Formulate action plan
- Submit to Board for approval



3) HUMAN RESOURCE MANAGEMENT

- Manage necessary human resources
- Adhere to Personnel Byelaws



4) GENERAL MEETING DECISIONS

- Implement decisions of the General Meeting



5) LEGAL & REGULATORY COMPLIANCE

- Operate institution according to Act
- Follow Rastra Bank directives
- Establish effective internal control & risk management



6) TIMELY REPORTING

- Submit statements, documents, and decisions
- To Rastra Bank and other agencies
- On time and in compliance



7) OPTIMUM PROTECTION

- Protect interests of depositors, shareholders, and the institution



8) SENIOR MANAGEMENT NORMS

- Apply appropriate norms for senior management
- Subject to Board policy



2) ACCOUNTABILITY TO THE BOARD OF DIRECTORS

- The Chief Executive shall be accountable for their work to the Board of Directors.

*Subject to Memorandum of Association, Articles of Association, and Applicable Laws.

Explain the provisions concerning Board of Directors and Chief Executive of Banks or Financial Institution, capital, capital funds and liquid assets along with provisions concerning operation of financial transactions. (Section 14 – 54)

LO	Syllabus content	Technical grid reference
LO 4c (2/3)	❖ Capital to be maintained ❖ Capital fund ❖ Provisions relating to probable losses ❖ General reserve fund ❖ Exchange equalization fund ❖ Liquid assets required to be maintained ❖ Declaration and distribution of dividends ❖ Order to decrease capital	Section 41 to 48 of Banks and Financial Institutions Act, 2073

BANKING REGULATION FRAMEWORK

SECTION 41: MINIMUM PAID-UP CAPITAL

- **BANKS MUST MAINTAIN** Rastra Bank prescribed minimum
- **INVESTMENT LIMITS:** 15% max per investor
  - 15% max per investor
  - Cross-investment <1%
- Special provisions for Foreign JVs, Class "D", and Infrastructure banks

SECTION 42: CAPITAL FUND

- **MAINTAIN RATIO** based on Assets & Risk-Weighted Assets
- **SHORTFALL REPORTING:** Within 1 month with reasons and restoration plan
- RAstra Bank directives possible

SECTION 43: LOAN LOSS PROVISIONS

- **CREATE PROVISIONS** for potential asset risks
- **COVERS** loans, off-balance-sheet liabilities
- **PROTECTS** against losses

SECTION 44: GENERAL RESERVE FUND

- **ACCUMULATE 20% OF NET PROFIT** until paid-up capital doubles
  - 10% thereafter
- **RESTRICTED:** Cannot be used or transferred without Rastra Bank approval

SECTION 45: EXCHANGE EQUALISATION FUND

- **APPLICABLE TO FOREIGN EXCHANGE** dealings
- **ANNUAL ADJUSTMENT** of revaluation profits
- **MIN 25%** of non-INR profits to fund
- **USAGE:** Restricted to currency devaluation losses

SECTION 47: DIVIDEND REGULATIONS

- **APPROVAL REQUIRED** from Rastra Bank
- **CONDITIONS TO DISTRIBUTE:**
  - Recover preliminary expenses/losses
  - Capital & Capital Fund intact
  - Loan loss & General Reserve funds met
  - Public shares fully sold

SECTION 46: LIQUID ASSETS

- **MAINTAIN LIQUID ASSETS** as prescribed by Rastra Bank
- **ENSURES** short-term stability

SECTION 48: DECREASE OF CAPITAL

- Rastra Bank **MAY ORDER** decrease of issued/paid-up capital
- **SUPERSEDES OTHER LAWS**

Explain the provisions concerning Board of Directors and Chief Executive of Banks or Financial Institution, capital, capital funds and liquid assets along with provisions concerning operation of financial transactions. (Section 14 – 54)

LO	Syllabus content	Technical grid reference
LO 4c (3/3)	❖ Financial transactions which licensed institutions may carry ❖ Activities prohibited for being carried out by licensed institutions ❖ Provisions relating to subsidiary companies ❖ Restrictions on transactions with associated persons ❖ Information on suspected transactions ❖ Power to issue directions	Section 49 to 54 of Banks and Financial Institutions Act, 2073

SECTION 49: BANK OR FINANCIAL INSTITUTION MAY CARRY ON BANKING & FINANCIAL TRANSACTIONS

MEMORY TRICK: "A for ALL, B for BUSINESS add-ons, C for CREDIT focus, D for DEVELOPMENT (Micro)," Infrastructure Bank for INFRASTRUCTURE"

CLASS "A" BANK (Full Powres) Can do ALL (Most Extensive)

COMMON POWERS (Also available to)

- (a) Accept deposits (All)
- (b) Electronic banking (All)
- (c) Lend loans (incl. OD, HP, Leasing, Housing) (All)
- (f) Mortgage/ remortgage loans (A,C)
- (h) Borrow/lend from Rastra Bank & other FIs (All)
- (i) Loans from Govt/ agencies for projects (All)
- (j) Write off credits (All)
- (k) Issue shares/ debentures etc. (All) (All)
- (n) Foreign exchange business (All)
- (p) Buy/Sell T-bills, NRB bonds (All)
- (r) Custody & sale/ purchase of securities, collect interest/ dividend, safe deposit (All) (All)
- (s) Off-balance sheet transactions (A,B)
- (t) Credit to deprived/ low income/ disaster victims (All)
- (u) Info exchange on debtors (All)
- (x) Manage/sell assets (All)

ADDITIONAL / UNIQUE POWERS (Not avaliable to all)

1. Accept deposit instruments & pay with/without interest (Not B,C,D)
2. Lending on guarantee of foreign bank/FI (Not B,C,D)
3. Issue guarantees & bonds; take collateral of own or third parties (More extensive than others)
4. Consortium lending with project collateral (pari passu) (B&C limited)
5. Letters of credit transactions (B limited, C limited, D No)
6. Govt. transactions (Not B,C,D)
7. Remittance abroad & receive remittance (B limited to within Nepal, C limited)
8. Buy/sell gold & silver bullion (Not B,C,D)
9. Provide guarantees for third party payments/values (Not B,C,D)
10. Conduct research, survey, consultancy, training (All do, but A widest scope)
11. Agency for digital cards/electronic transactions (B No, C No, D No)
13. Other functions as prescribed (All do, A widest)

CLASS "B" FINANCIAL INSTITUTION Can do COMMON + Additional

COMMON POWERS (Also available to)

- (a), (b), (c), (f), (h), (i), (j), (k), (n), (p), (r), (s), (t), (u), (x)

ADDITIONAL POWERS (Not in C,D)

1. Consortium lending with project collateral (pari passu)
2. Issue guarantees & take collateral (own or third party assets)
3. Bills of exchange, promissory notes, cheques, drafts, traveller's cheques
4. Accept loan on mortgage of own assets
2. Letters of credit & remittance (with NRB approval)
6. Custody & sale/ purchase of securities, collect interest/ dividend, safe deposit
7. Fund transfer within Nepal
8. Research, survey, training, consultancy (banking, accounts, property, loan evaluation)
9. Other functions as prescribed

CLASS "C" FINANCIAL INSTITUTION Can do COMMON + Additional

COMMON POWERS (Also available to)

- (a), (b), (f), (h), (j), (k), (p), (r), (t), (u), (x)

ADDITIONAL POWERS (Limited Scope)

1. Hire-purchase, leasing, housing loans
2. Consortium financing (pari passu)
3. Accept loan on mortgage of own assets
4. Manage, sell, rent or lease out assets
5. Bills of exchange, promissory notes, cheques, drafts, traveller's cheques
6. Foreign currency transactions (with NRB approval)
7. Instalment/hire-purchase loan for vehicles, machinery, tools, equipment, durables
8. Leasing finance for vehicles, machines, tools, durables
9. Guarantee & take collateral (own/third party)
10. Other functions as prescribed

CLASS "D" FINANCIAL INSTITUTION (Microfinance Focus) Can do COMMON + Additional

COMMON POWERS (Also available to)

- (a), (b), (f), (h), (j), (k), (p), (r), (t), (u), (x)

ADDITIONAL / SPECIAL POWERS (Microfinance Focus)

1. Disburse micro-credit to eligible groups/ members (with/without collateral)
2. Accept loans/grants (domestic/foreign) for microfinance (NRB approval for foreign grants)
3. Evaluate microfinance schemes (feasibility)
4. Provide services & consultation for microfinance groups
5. Recovery of micro-credits
6. Accept deposits (within limit & NRB approval)
7. Issue shares/debentures for capital
8. Exchange info on debtors/customers
9. Other functions as prescribed

INFRASTRUCTURE DEVELOPMENT BANK (Infrastructure Focus) Specialized in Infra Financing

COMMON POWERS (Not applicable – (pecialized bank)

SPECIALIZED POWERS (Infrastructure Focus)

1. Provide loans & equity financing in infra projects
2. Finance in securities of infra companies
3. Open L/C & issue guarantees for machinery, equipment & tools for infra projects
4. Issue financial instruments (domestic/ foreign currency) to raise funds for infra projects; acquire loans
5. Mobilize resources via long-term deposits or debentures
6. Leasing transactions (with NRB approval)
7. Loans & facilities against guarantees of foreign banks/FIs
8. Other acts as prescribed

EASY MEMORY

A = ALL in one
A can do everything including Govt. work, foreign remittance, gold-silver, full range of guarantees, letters of credit etc.

B = BUSINESS add-ons
B adds business tools – guarantees, bills, L/C, remittance, securities custody but within limits.

C = CREDIT focus
C focuses on credit products – HP, leasing, housing, instalment loans with limited scope.

D = DEVELOPMENT (Micro)
D is for Development of micro-entrepreneurs through micro-credit & group-based financing.

INFRA = INFRASTRUCTURE
Infra Bank finances infrastructure projects through loans, equity, guarantees & long-term resources.

KEY POINT: Scope of transactions reduces from A → B → C → D, while specialized focus increases. Common powers are the base; additional powers are class-specific.

SECTION 50: PROHIBITED ACTS BY BANKS OR FINANCIAL INSTITUTIONS

PROHIBITED ACTIVITIES

1 BUSINESS RESTRICTIONS



Cannot buy/sell goods for business or purchase land/buildings except for own operational needs.

2 SELF-LENDING



Cannot give credit against its own shares.

3 CONFLICT OF INTEREST



Cannot provide credit to Directors, Chief Executive, major shareholders (≥1%), their family, or related firms/companies.

4 CUSTOMER LIMIT BREACH



Cannot exceed per-customer lending limits set by Rastra Bank.

5 PROMOTER/CEO GUARANTEES



Cannot provide credit based on guarantees from promoters, Directors, or Chief Executive.

6 INTER-BANK INVESTMENTS



Cannot invest in shares of A, B, or C class banks/financial institutions

7 OTHER INVESTMENTS



Cannot exceed prescribed investment limits in other institutions.

8 ANTI-COMPETITIVE PRACTICES



Cannot create monopolies or artificial hurdles in the financial sector.

9 OTHER RESTRICTED FUNCTIONS



Any functions specified by Rastra Bank as prohibited.

EXCEPTIONS

CAN CONDUCT OWN BANKING



Can conduct its own banking/financial activities.

HOUSING & FACILITIES FOR EMPLOYEES



Can provide housing or facilities to employees per internal byelaws.

SECURE CREDIT FOR KEY PERSONS



Can provide credit secured by government or Rastra Bank bonds, deposits, or FDRs for promoters, Directors, or major shareholders within prescribed limits.

NEPAL RASTRA BANK REGULATIONS

BANKING AND FINANCIAL INSTITUTIONS ACT: SECTIONS OVERVIEW

1 SECTION 51: SUBSIDIARY COMPANY



- Banks may incorporate a subsidiary company with Rastra Bank approval.
- Rastra Bank can impose terms and conditions for approval.

2 SECTION 52: TRANSACTIONS WITH RELATED PARTIES



- **PROHIBITION:** No loans or financial facilities can be given to relevant/related persons.

e.g.,
- Promoters,
- Directors,
- Major Shareholders

3 SECTION 53: SUSPICIOUS TRANSACTION REPORTING



- Banks must report suspicious transactions of customers or account holders.
- According to prevailing anti-money laundering and terrorist financing laws.

4 SECTION 54: RASTRA BANK DIRECTIVES



- Rastra Bank may issue directives on procedures and requirements.
- For banks/financial institutions under this chapter.

Explain and assess the provisions relating to disbursement and recovery of credits. (Section 55 – 57)

LO	Syllabus content	Technical grid reference
LO 4d	❖ Credit to be supplied ❖ Monitoring of utilization of the credit amount ❖ Recovery of credit	Section 55 to 57 of Banks and Financial Institutions Act, 2073

CHAPTER 8
PROVISIONS ON DISBURSEMENT AND RECOVERY OF CREDITS

SECTION 55: DISBURSEMENT OF CREDIT

Purpose disclosure
Credit can be disbursed only after declaring its purpose.

Collateral & guarantees
Banks must obtain acceptable collateral or guarantees.

Property registration
Collateral properties must be withheld from registration/transfer in the borrower's name.

Priority lending
Rastra Bank may direct credit to low-income groups or specific regions.

Terms
Repayment, interest, and conditions must be in the credit deed.

Borrower info
Collect identity and ownership details of borrower, guarantor, firm directors, partners, and family members.

Transparency
Borrowers can request details of principal, interest, and fees.

SUMMARY FLOW

1. **Disburse** with due diligence
2. **Monitor** utilization
3. **Recover** as per law

CORE PRINCIPLE:
Responsible lending, proper monitoring, and effective recovery to protect bank and depositor interests.

SECTION 56: MONITORING CREDIT USE

Banks must regularly monitor whether borrowers use credit for the declared purpose.

A monitoring schedule should be prepared to track utilization.

SECTION 57: CREDIT RECOVERY

1. **Default recovery:** Banks can auction mortgaged assets if borrower fails to repay or misuses credit.
2. **Additional collateral:** Borrower must provide more assets if collateral value decreases.
3. **Ownership registration:** Banks must register auctioned assets in the buyer's name.
4. **No suspension:** Credit write-off does not suspend recovery actions.
5. **Reporting default:** Borrowers failing repayment must be reported to the Credit Information Bureau (CIB) for blocklisting.
6. **International recovery:** Banks may freeze foreign assets if domestic recovery fails.
7. **Passport/Service restriction:** Rastra Bank may request government action to restrict services/passports for unrecovered loans.
8. **Legal protection:** Recovery actions do not prevent criminal or civil action under law.
9. **Other legal actions:** Banks may take all actions under law including freezing assets in Nepal or abroad, and request government support for enforcement.

Recognize the accounts, records, returns and reports of bank and financial institutions. (Section 58 – 68)

LO	Syllabus content	Technical grid reference
LO 4e	❖ Accounts and records to be maintained ❖ Balance sheet, profit and loss account and audit ❖ Audit committee ❖ Functions, duties and powers of audit committee ❖ Audit ❖ Appointment of auditor and his remuneration ❖ Disqualifications for appointment as auditor ❖ Returns to be submitted ❖ Functions, duties and power of auditors ❖ Recommend action against auditors ❖ Certification by auditor	Section 58 to 68 of Banks and Financial Institutions Act, 2073

‘BANKING & FINANCIAL REGULATIONS: KEY SECTIONS OVERVIEW’

SECTION 58: ACCOUNTS TO BE MAINTAINED ACCURATELY



- **Accurate Accounts, Books, & Records.**
- **Use Double-Entry Bookkeeping** (Reflecting exact transactions).
- **Licensed Foreign Bank Branches: Maintain Separate Financial Statements** (Assets, Liabilities, Income, Expenses, P&L).
- **Maintain Accounts at Central Office** (Unless Rastra Bank approves otherwise).

SECTION 59: BALANCE-SHEET, PROFIT & LOSS ACCOUNTS



- **Prepare Balance Sheet, P&L, Cash Flow** (As prescribed by Rastra Bank).
- **Submit to Rastra Bank:** Within 3 months of fiscal year-end.
- **Publish Audited Statements:** Within 9 months.
- **Subsidiary Companies:** Financials separately & integrally stated.
- **Rastra Bank Prescribes:** Formats, certification, public disclosure.
- **Erroneous/Misleading Info:** Rastra Bank may require corrections or republication.

SECTION 60: AUDIT COMMITTEE



- **Formation:** 3 members led by a Non-Executive Director.
- **Exclusions:** Chairperson, sub-committee convener, and CEO cannot serve.
- **Prohibitions:** No deposits, credits, securities, or daily financial decisions for members.
- **Meetings:** Held once every 3 months (except special calls).
- **Committee sets its own procedures.**

SECTION 61: FUNCTIONS, DUTIES, AND POWERS OF AUDIT



- **(a) Monitor compliance:** Accounts, budget, internal audits, and controls.
- **(b) Conduct internal audits:** Of accounts and records, ensuring legal/regulatory compliance.
- **(c) Audit management, operations, and performance:** Full compliance with laws.
- **(d) Monitor adherence:** To Act, Rules, Byelaws, policies, & directives; submit reports.
- **(e) Recommend 3 auditors:** For external auditor appointment.
- **(f) Provide opinions:** To the Board on required subjects.

BANKING AUDITING FRAMEWORK: SECTION 62 - 65

SECTION 62: AUDITING

TIMELINE & REQUIREMENTS
Prepare Balance Sheet, P&L, Cash Flow within 4 months of fiscal year-end

SIGNATURES
Signed by 2 Directors, Chief Executive, Auditor

FOREIGN BANKS
Follow Rastra Bank formats

EXTENSION
Request extension up to 2 months from Rastra Bank

REPORT SUBMISSION
Auditor submits to Bank & Rastra Bank

SECTION 63: APPOINTMENT & REMUNERATION OF AUDITOR

APPOINTING BODY
General Meeting appoints Auditor

TERM LIMIT
Maximum 3 consecutive terms

QUALIFICATIONS
Class A/B/C: Chartered Accountant;
Class D: CA or Registered Auditor

VACANCY
Rastra Bank can appoint if needed; Board for remaining term

REMUNERATION
Determined by Appointing Body or Rastra Bank

SECTION 64: INELIGIBILITY FOR APPOINTMENT

INELIGIBLE PERSONS OR FIRMS
a) Promoter, Director, CEO or Family member
b) Bank official, employee, internal auditor
c) Partner of promoter, Director, employee
d) Borrower, significant owner, financial interest
e) Declared Bankrupt (Nepal/Abroad)
f) Subscribed >=1% shares
g) Criminal offense in last 5 years
h) Disqualified under laws

AUTO INVALID
Appointment becomes invalid if ineligible

SECTION 65: DETAILS TO BE FURNISHED

MANDATORY PROVISION
Bank must provide accounts, books, ledgers, statements, and after queries

OFFICER RESPONSIBILITY
Officer must furnish accurate statements & answers promptly to queries

SECTION 66: FUNCTIONS, DUTIES AND POWERS OF AUDITOR



AUDITING & REPORTING

- Conduct auditing of accounts and financial statements.
- Prepare audit report including balance sheet and P&L for the Board of Directors.
- Inform Board if irregularities or potential losses are identified.
- Notify Rastra Bank if:
  - License or Act/Rules/Bylaws violated
  - Regular activities adversely affected
  - Auditor is prevented from submitting or forced to falsify report





INSPECTION POWERS

- Inspect all accounting documents, ledgers, books, vouchers, and assets.
- Request explanations from Directors or officials.



AUDIT REPORT MUST INCLUDE

(a) Responses to queries.
(b) Accuracy of balance sheet, off-balance sheet transactions, P&L, cash flow, and compliance with Rastra Bank formats.
(c) Accuracy of accounts and records per prevailing laws.
(d) Irregularities or losses caused by officials.
(e) Proper credit write-offs.
(f) Compliance of bank transactions with Rastra Bank standards.
(g) Matters for shareholders.
(h) Matters required by law or Rastra Bank.
(i) Other suggestions deemed necessary by auditor.



ADDITIONAL FUNCTIONS BY RASTRA BANK

- Submit extra information.
- Expand audit scope (including subsidiaries).
- Conduct additional tests as directed.





SECTION 67: RECOMMENDATION FOR ACTION AGAINST AUDITOR

Rastra Bank may recommend removal of auditor from panel for 1–3 years for non-performance. Regulating authority must act as per prevailing laws.



SECTION 68: AUDITOR TO CERTIFY

Auditor must sign and date audited accounts, books, and ledgers to certify authenticity.

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For notes, mail - govintamang2054@gmail.com